

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02331

Report ID:	AR-02331
Audit Type:	Procurement Compliance Audit
Report Date:	June 12, 2023
Audit Period:	2023-03-14 to 2023-05-15
Lead Auditor:	Philip Mayer (EMP-70256)
Reviewed By:	Erin Hicks (EMP-52314)
Primary Vendor Reference:	IronPoint Manufacturing Inc (VND-01674)
Subject Employee Reference:	Linda Foster (EMP-66546)
Primary Transaction Reference:	TXN-868769
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2023-03-14 to 2023-05-15 and focused on transactions and approvals associated with vendor IronPoint Manufacturing Inc (VND-01674). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **MEDIUM** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-868769 (amount 34,309.73 USD) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-003530	LOW	VENDOR RISK	Vendor UnityCore Technologies LLC holds CRITICAL risk rating. 5 payments totalling \$9,048 processed in the audit period.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000113	DNS LOG	EVD-LAG-5778	0.88
EVI-000709	AUDIT REPORT	EVD-DFP-6235	0.88
EVI-000903	VENDOR RECORD	EVD-VTI-7138	0.87
EVI-001375	CONTRACT RECORD	EVD-YNZ-9821	0.55
EVI-001808	APPROVAL RECORD	EVD-MTX-8081	0.55
EVI-002640	HR RECORD	EVD-EAM-9997	0.56

5. RECOMMENDATIONS

- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Implement receipt-matching automation for expense claims above the policy threshold.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Philip Mayer	EMP-70256	2023-06-12
Reviewing Officer	Erin Hicks	EMP-52314	2023-06-14